CRL Commercial Overview

The commercial case for conditional retroactive leverage, for professional brokers and banks

PUBLIC INFORMATION BRIEF. FOR PROFESSIONAL BROKER DISCUSSION ONLY.

This document provides a high-level commercial overview of CRL for regulated brokers, banks and professional market participants. CRL is a technology and calculation layer. It does not execute trades, hold client funds, provide investment advice, or determine client suitability. Any references to reduced early stop-outs, relationship extension or commercial uplift are illustrative and based on internal modelling under stated assumptions; they are not forecasts, guaranteed outcomes, client performance claims, or regulatory conclusions. Loss-limitation features depend on the specific product wrapper, issuer configuration, margin framework, contractual terms and applicable regulation. CRL's core property is that leverage is not activated before market confirmation; it is not universal capital protection.

1. What CRL Is

CRL (Conditional Retroactive Leverage) is a calculation layer that sits beneath a broker's existing platforms and changes when and how leverage applies. Its defining property is that leverage is not activated before the market has confirmed the move in the client's favour.

Before the trigger, the position is not amplified by leverage. After the trigger, the price move from entry is recomputed at a higher leverage factor, producing a conditional, retroactive transformation of the payoff. Any loss-limitation feature depends on the specific product wrapper and issuer configuration and is not a universal property of CRL.

The broker remains the issuer and risk owner. CRL does not execute orders, hold client funds, or provide investment advice. It is the calculation engine behind a family of conditional-leverage products that the broker brands and distributes as its own.

2. Why a Broker Considers CRL

The value is not only lower churn. It is a differentiated, defensible leverage line.

- A product line that is genuinely new in the segment, rather than more pairs, tighter spreads or higher maximum leverage.
- A leverage story that product, risk and distribution teams can present to professional clients and eligible counterparties through correctly classified, regulated channels, including sophisticated active traders and, via regulated advisory channels, HNW and family-office clients.
- A new category, conditional leverage, rather than another CFD variant.

Lower churn is the consequence. The competitive edge is the point.

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3. How CRL Differs from Existing Instruments

CRL differs from turbos, barrier options and CFDs in two structural ways: leverage is not active from inception, and the payoff includes a conditional, retroactive transformation at the trigger rather than a continuous or maturity-only profile. A full technical comparison and the formal payoff definition are available to qualified counterparties.

The CRL engine and documentation are protected by copyright. The conditional, retroactive structure is not trivially recomposed from standard instruments, which is discussed in detail under NDA.

4. Economic Rationale

In leveraged businesses, losses and client departures concentrate in the early months of activity, and clients who survive beyond the first year tend to generate materially higher lifetime value. By not applying leverage before confirmation, CRL is designed to reduce early, leverage-driven account depletion.

Internal simulations suggest a reduction in early account depletion relative to constant-leverage benchmarks, under stated assumptions and simplified dynamics. These are not forecasts. Full methodology and figures are available to qualified counterparties under NDA, and the framework can be re-run on the broker's own instruments, data and risk parameters.

5. Technical and Operational Readiness

CRL is delivered as a production-grade engine, not a slide deck. The engine is live and multi-tenant by design, with a real audit pipeline that is cryptographically signed, tamper-evident and stored under WORM with long-term retention, and it is available for pilot.

Integration is tightly scoped: a calculation engine running alongside existing systems, not a core replacement. Time to pilot is measured in weeks. The platform exposes a REST API with a reference SDK pack, uses HMAC-SHA256 request signing over TLS 1.2 or 1.3, and produces compliance-oriented audit evidence. Detailed specifications are provided under NDA.

6. Engagement

For a broker or bank evaluating CRL, a typical path is for product and risk to review this overview alongside the current leverage shelf, for quant to review the formal payoff definition and methodology, and for technology to assess the API and operational model, followed by a short technical demonstration and sandbox access.

CRL is designed to support a professional-only product governance discussion. The initial discussion is intended to determine whether CRL is relevant to the broker's product, risk and client-retention priorities.

CRL is a structurally different approach to leverage. It is designed to help serious clients avoid premature, leverage-driven exits before their thesis is confirmed, while the broker retains full issuer and risk ownership.

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Intended for professional broker decision-makers. CRL products are designed exclusively for MiFID II Professional Clients and Eligible Counterparties and are not offered to retail clients.